RAYCHEM, DASHED EXPECTATIONS, AND THE CRASH

Toward the close of the June 30, 1976, fiscal year, Raychem was hit by two hammer blows, which were to play havoc with the price of the stock and with the company's reputation in the financial community. The financial community had become very excited about a proprietary polymer, Stilan, which enjoyed unique advantages over other com-pounds used by the airplane industry for coating wire and which was then in the final research stages. Furthermore, the polymer was to be the first product in which Raychem would go basic, that is, make the orig-inal chemicals in its own plant rather than buying raw materials from others and compounding them. Because of the appeal of the product, Raychem had allocated by a considerable margin more funds to this research product than to any other in its history. The financial community assumed this product was already on its way to success, and after passing through the usual "learning curve" experienced by all new products it would become highly profitable.

Actually, quite the opposite was occurring. In the words of the Raychem management, Stilan was "a scientific success but a commercial failure." Improved products of an able competitor, while technically not as desirable as Stilan, proved adequate for the job and were far cheaper. Raychem management recognized this. In the course of a rel-atively few weeks, management reached the painful decision to abandon the product and write off the heavy investments made in it. The result-ing charge to earnings for that fiscal year was some $9.3 million. This charge-off caused earnings, exclusive of some offsetting special gains, to drop to $.08 a share from $7.95 the previous fiscal year.

The financial community was as much upset by the erosion of the great confidence in the company's research ability as by the precipitous drop in earnings. Largely ignored was the basic rule that some new product developments are bound to fail in all companies. This is inher-ent in all industrial research activity and in a well-run company is far more than offset in the long run by other successful new products. It may have been just bad luck that the particular project on which the most money had been